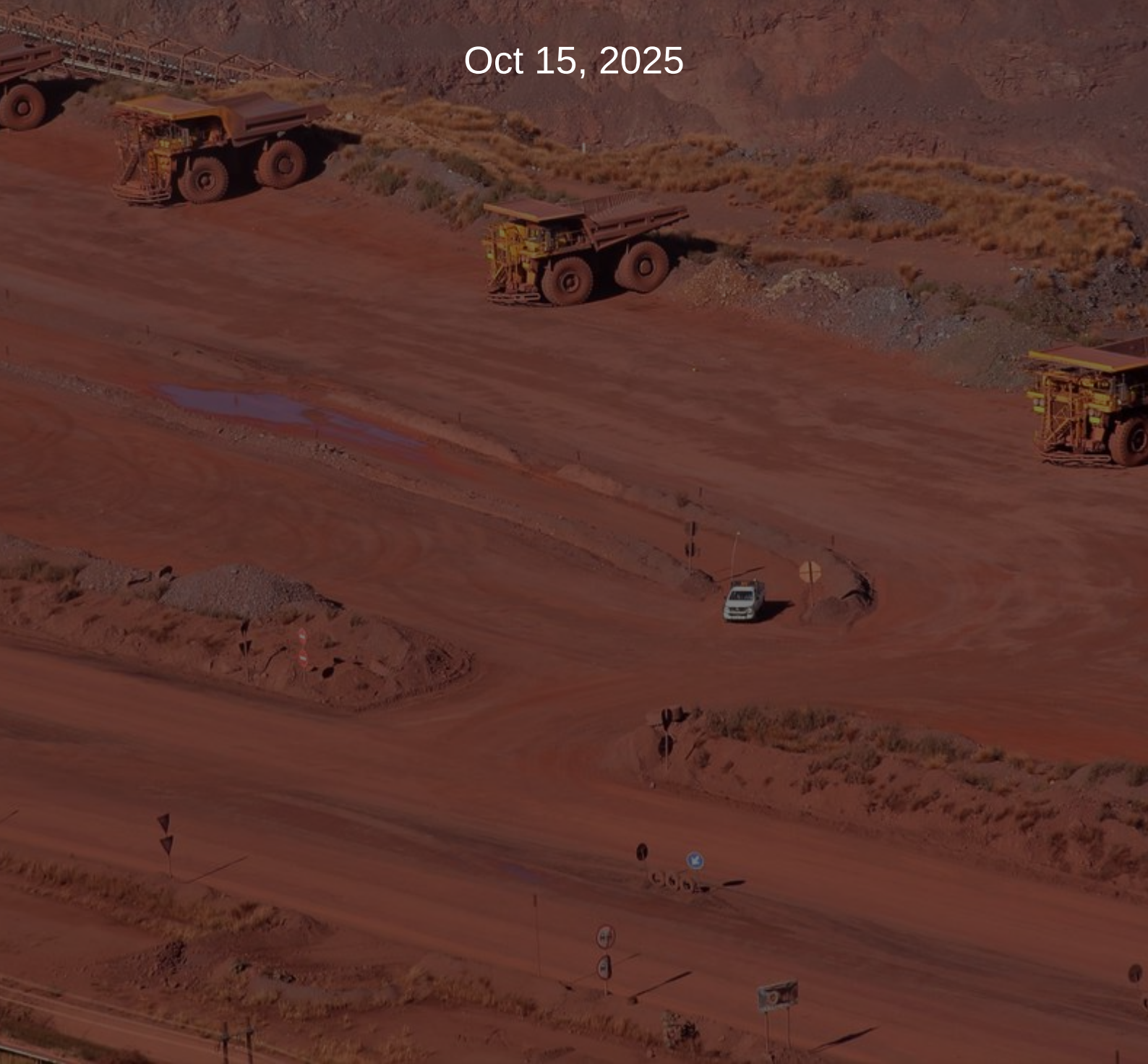


Fearnleys Dry Bulk Weekly

Oct 15, 2025



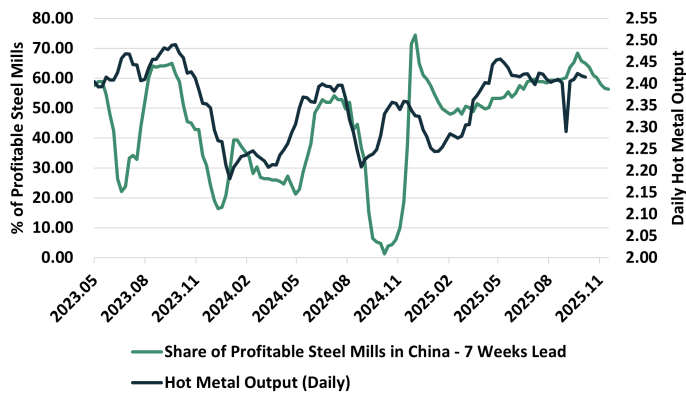
Capesize/Newcastlemax

Last week we wrote "No data from China last week due to holidays. The key datapoint to follow is imported iron ore consumption, which has been stable at around 3 million tons per day since the start of May. Total iron ore inventories have barely changed since May as well. Prices have seen more significant swings, but as long as volumes are not impacted, it will not mean much for the Capesize market. The narrowing spread of near-month iron ore futures is something we have pointed to for a while that might lead to a weaker Q4 than Q3 (top right chart). Interestingly, the futures curve has turned more backwardated since the BHP news broke, so that indicator is now suggesting Q1 market strength following a weaker Q4. Otherwise, there has been an unusual development in price spreads between various iron ore grades. Australian iron ore has weakened compared to lower grades (usually a bearish sign), but higher-grade Brazilian ores have increased in price relative to Australian ores."

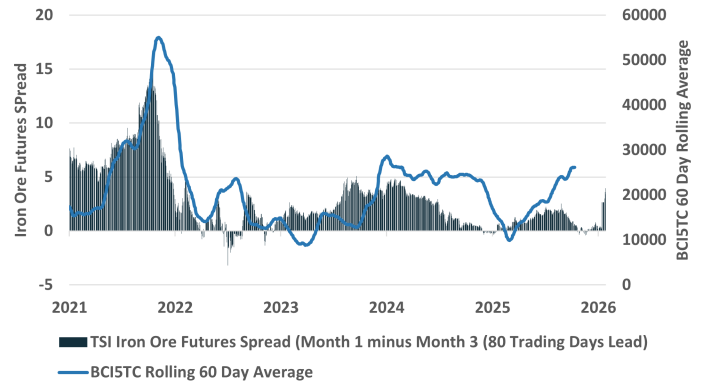
Wild week behind us, but China's exemptions to self-built ships cooled things off, and it seems the market impact will be minimal.

Otherwise, there is no significant change to what we wrote last week. Iron ore demand in China remains stable, as does total iron ore inventories. Bauxite shipments keeps making seasonally adjusted all-time highs. The most interesting data point regarding the near-term is that the ballaster/laden vessel ratio is relatively high, which could cause a correction.

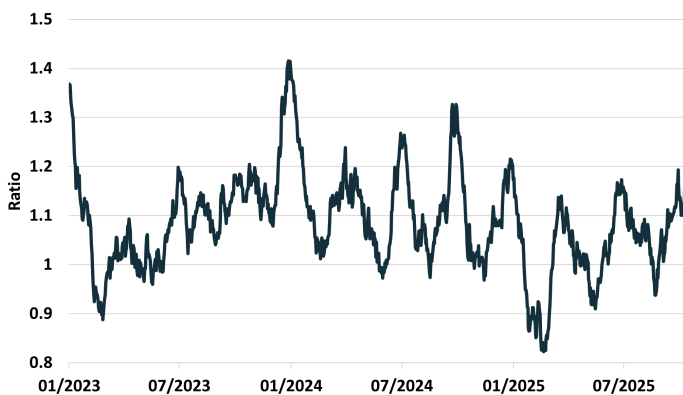
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



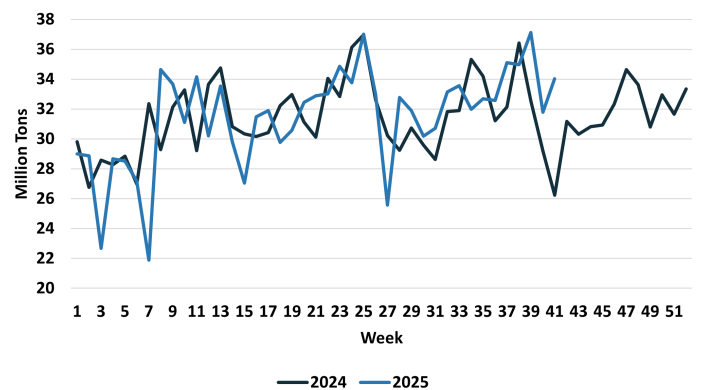
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



Cape/Newc Ballaster/Laden Vessel Ratio



Cape/Newc Weekly Shipment Volumes 24 vs 25

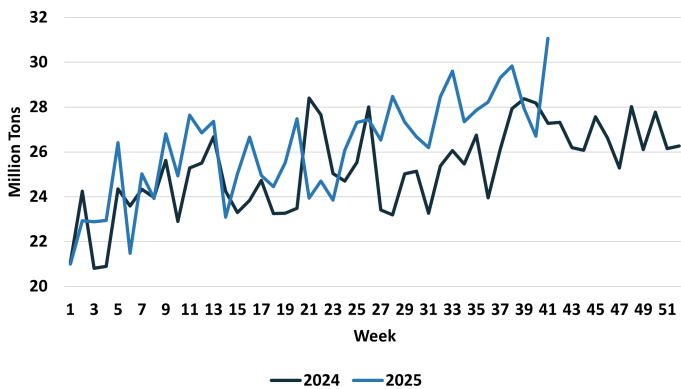


Panamax/Kamsarmax

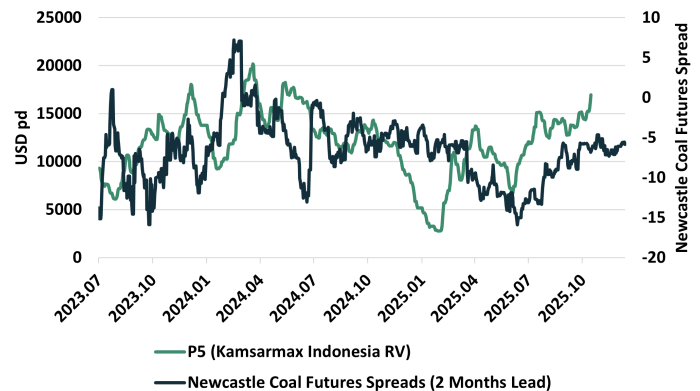
Last week we wrote: *"The South Atlantic seems to stabilize, so a rebound could be underway. The North-Atlantic looks a bit over-tonnaged, however, so that is where the main downside risk lies. The Ultramax market has started to weaken there. In the Pacific, the market looks resilient, and is suggested to remain so by the coal futures curve. Stable to firm outlook near-term for P5TC."*

The South Atlantic vessel tightness indicator suggests a peak around the October/November month shift. This could align with a peak in the coal futures curve lead, as that is also peaking around the month shift. The North Atlantic vessel tightness indicator is neutral, having turned a bit more bullish since last week. However, a US-China soybean deal seems out of the question now.

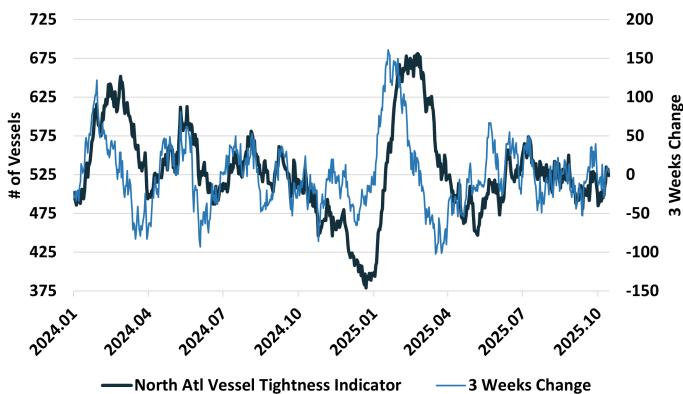
Panamax / Kamsarmax Weekly Shipment Volumes 24 vs 25



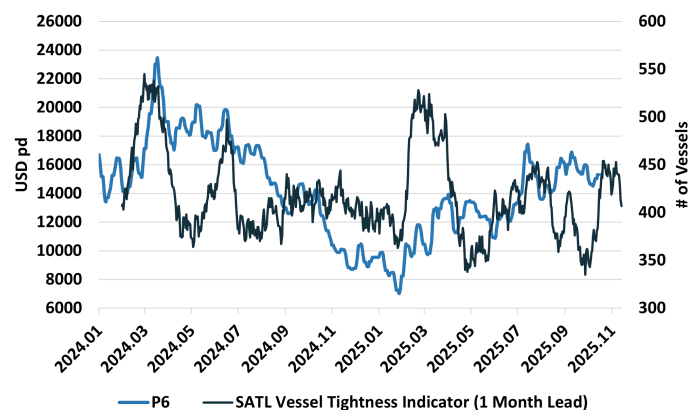
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



North Atlantic Vessel Tightness Indicator



South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



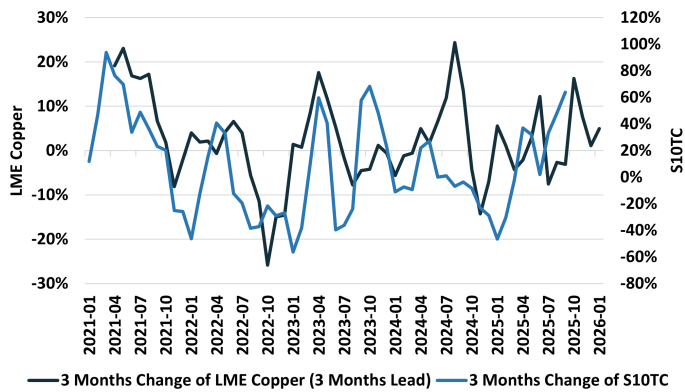


Supramax/Ultramax

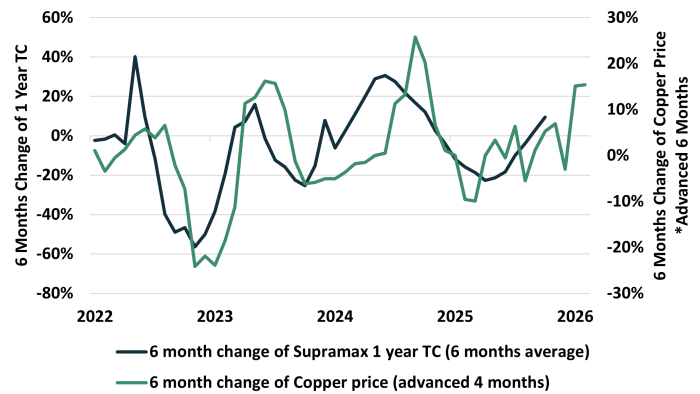
Last week, we wrote: "Sharp correction on several Atlantic routes in the last days. The S4A index could fall to the low 20.000s pd, as that would normalise the spread over Pacific rounds. We doubt Pacific indices will correct much further, as earnings are now similar to Kamsarmaxes, with the outlook there being firm/stable."

Pacific routes are likely to be stable to firm in the near-term, whereas downside risk in the Atlantic remains. As predicted by the price change of copper, market momentum has peaked, so new 11TC/10TC index highs are unlikely before year-end, basis the 3 months lead shown on the top left chart.

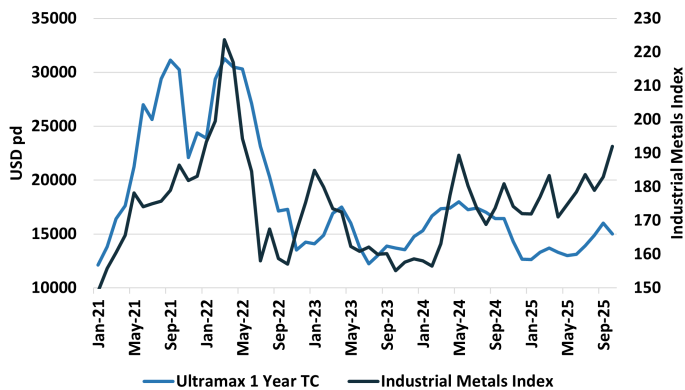
Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



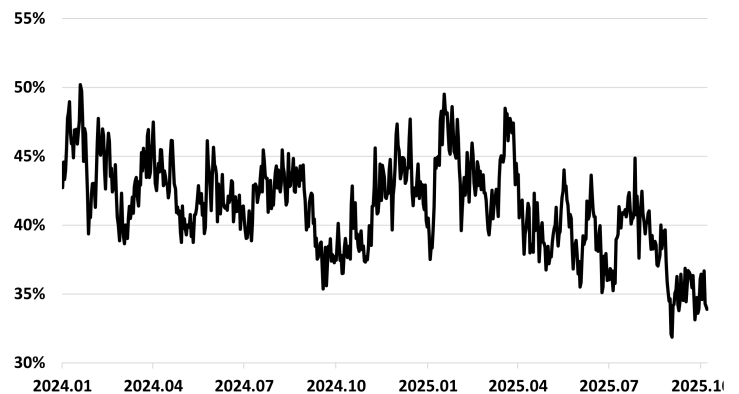
Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



Industrial Metals Index vs Ultramax 1 Year TC



Supra/Ultra Ballaster/Laden Vessel Ratio





Disclaimer

1. Introduction

The statistical and graphic information set forth in the analysis is compiled by Fearnresearch and based on the databases and time series supplied by Fearnresearch, the research division of Fearnleys AS, and other external sources of information. Fearnresearch compiles, processes and publishes data for the benefit of the brokering departments of Fearnleys AS and its clients. Its methodologies for collecting data, and therefore the data collected, may differ from those of other sources, and its data do not reflect all or even necessarily a comprehensive set of actual transactions occurring in the market. Certain estimates may be based on prevailing market conditions. There can be no assurance that such data reflect actual market conditions.

Data compilation, especially for earlier historical periods, is subject to limited audit and validation procedures. Both closed and open sources, interviews and market intelligence to gain information on different topics may be used. Accordingly, there can be no assurance as to the accuracy or completeness of the estimates, advice, statements and any other information contained in the analysis.

2. Risks

Research coverage of Fearnleys AS encompasses solely companies within the shipping sector. This sector is cyclical by nature and will over time presumably experience higher volatility than the overall market.

3. Confidentiality

Pursuant to Fearnleys' Code of Conduct, all employees of Fearnleys AS are subject to duty of confidentiality towards clients and with respect to handling inside information. All employees shall follow strict information handling procedures and other organizational procedures to minimize conflicts of interest within Fearnleys and between clients.

4. General Disclaimer of Liability

The analyses, estimates, advice, statement and any other information contained in the analysis are prepared and presented in good faith. However, neither Fearnresearch, Fearnleys AS nor any of their subsidiaries, associated companies, organisations, management personnel, employees, agents or independent contractors (collectively the "Fearnley Interests") shall under any circumstances be under any liability for any losses, damages or costs caused to any person, company or other legal entity arising or resulting directly or indirectly from reliance on any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information contained in the analysis resulting directly or indirectly from any negligent or gross negligent act(s) or omission (s), or wilful misconduct, committed by any of the Fearnley Interests.

In the event that a court or tribunal, notwithstanding the above liability exemptions, should hold any, some or all of the Fearnley Interests liable in damages for any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information, the liability shall not under any circumstances whatsoever exceed in total ten (10) times the fees payable for the analysis in question, or US\$ 100,000 (United States Dollar Hundred Thousand), whichever is the higher.

Under no circumstances whatsoever shall the individual or individuals who have caused the losses, damage or costs be held personally responsible or liable in any way. The Fearnley Interests shall under no circumstances whatsoever be liable for punitive damages.

The analysis is prepared to the benefit of the named addressee only. No other third party may rely on the analysis or any of its content without prior written approval of Fearnley Consultants AS.

Should any part of this clause be held unenforceable, non-operative or invalid by a court or tribunal, the remaining parts shall remain in full force.

5. Processing of Personal Data

The processing of personal data within Fearnleys AS is subject to strict rules and regulations. Our Privacy Policy describes the procedures for processing personal data according to the General Data Protection Regulation (GDPR). Please see our homepage for more information on this.

Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company